Competition

Another factor that one must consider is the level of competition among various companies in an industry. Competition within an industry initially leads to efficiency, product improvements and innovation. As competition increases even more, cut throat price wars set in resulting in lower margins, smaller profits and, finally, some companies begin to make losses. The more inefficient companies even close down.

To properly understand this phenomenon, it is to be appreciated that if the return is high, newcomers will invest in the industry and there will be an inflow of funds. Existing companies may also increase their capacity. However, if the returns are low, or lower than that which can be obtained elsewhere, the reverse will occur. Funds will not be invested and there will be an outflow.

In short high returns attract competition and *vice versa*. However, competition in the form of new companies do not bacterially multiply just because the returns are high. There are competitive forces and it is these competitive forces determine the extent of the inflow of funds, the return on investment and the ability of companies to sustain these returns. These competitive forces are: barriers to entry, the threat of substitution, bargaining power of the buyers, bargaining power of the suppliers, and the rivalry among competitors.

Barriers to Entry

New entrants increase the capacity in an industry and the inflow of funds. The question that arises is how easy is it to enter an industry? There are some barriers to entry:

1. *Economies of Scale*: In some industries it may not be economical to set up small capacities. This is especially true if comparatively large units are already in existence producing a vast quantity. The products produced by such established giants will be markedly cheaper.
2. *Product Differentiation:* A company whose products have product differentiation has greater staying power. The product differentiation may be because of its name or because of the quality of its products — Mercedes Benz cars; National VCRs or Reebok shoes. People are